



Developing a New IDIOM

Only a collective effort can usher an Indian approach to management education

Even as the number of management institutions in the country continues to soar, the actual quality of the education imparted is deficient and their relevance to industry and society at large is insignificant. I have attempted to single out some of the important challenges and, more importantly, the enabling factors that can usher in a new era of management education in the country.

The basic imperative for providing high quality education is to have a large pool of high quality faculty. To ensure that the knowledge we impart stays relevant and contemporary, we need to allow our faculty to spend a significant part of their time on research. Unfortunately, our country is lacking in this area, with most schools modelling themselves as teaching schools, and faculty not being incentivised to do research. Conversely, leading educational institutions around the world are primarily research-driven. As a nation, we need to attract, develop, retain and expand the pool of research-oriented faculty.

Research, however, is an expensive proposition. In addition to investing in research programmes, attracting high calibre faculty demands that they be compensated at par with the best in the world. The fee that Indian institutes typically generate from their programmes would be inadequate to meet this requirement. Most top schools globally supplement their revenues from programmes through other sources. Indian institutions similarly need to rely on other sources of revenue such as government grants or donations. Private institutions, specifically, can only bank on donations to fund any of their research initiatives, which is not an easy task. In our country, while there is a fair amount of charitable contribution, these are mostly directed towards causes such as religion, natural disasters and other causes. This mismatch between the need for funds on one hand, and the lack of a suitable 'climate' for giving on the other, causes institutions to take the easy way out, that is drop research and focus only on teaching. This needs to change.

Collaboration with industry is another important aspect that will allow institutions to grow in quality and relevance. Historically, great institutions have thrived due to the pollination of ideas between academia and industry—Stanford in the

Silicon Valley, MIT and Harvard in the Boston area, etc. are some examples of institutions that have benefited from the proximity of industry and academia. There is a strong case for establishing education institutions close to business hubs, but the cost of land involved in doing so is prohibitive. Here, the government can take a proactive step by earmarking some land in business hubs for institutions of higher learning.

A major challenge that B-schools in particular and the education sector in general face is that of an antiquated regulatory system. The present regulatory framework does not allow an institution to award a degree unless it is affiliated to AICTE or is part of the university system. Isn't it ironic that India is perhaps the only market in the world where institutions that cannot award an MBA degree are in reality more coveted than most institutions that can actually award one? I believe that the best public policy for improving educational institutions is to enable and encourage competition. The country needs to move to a more competitive and growth-oriented one.

There is a tremendous need, and an opportunity to usher an Indian paradigm to management education and only the collective effort can make this happen. I quote our prime minister from a speech he delivered at the ISB in December 2006, where he urged institutes to define an 'Indian approach' to management: "As we learn from the West and the East, we must evolve our own paradigm of management education based on our social and cultural attributes. We must retain the relevant wisdom of the past, incorporating it into new methodologies of change. We need to develop a new idiom in management".

Finally, I believe that B-schools have a greater role to play apart from imparting management education. As an educational institution, we need to devise solutions for 'real' issues; we need to be able to bring our knowledge and competencies to benefit society. The next generation of B-schools should transform not just the lives of its students, not just the industry, but of the society we live in. I envision ISB playing its part in this transformation, as a change agent, not just in India but all over the world.

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